Astera Labs (ALAB): Sell

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Best-in-class connectivity, priced beyond reason. At $307.58, the market prices roughly 90% annual revenue growth for five years. Our DCF sees $134.81 base case, 56% downside.

Sell	$134.81	$307.58	-56%
RATING	BASE TARGET (BLENDED $136.57)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

$84.17 / $192.49	10.36%	$392.4M	90%+	$1.25B	1.5
BEAR / BULL TARGETS	LIVE WACC	Q2 REVENUE (+105%)	PCIE RETIMER SHARE	NET CASH	EQUITY BETA (NORMALIZED)

Executive summary

We update Astera Labs to a **Sell** with a $134.81 base-case target (blended $136.57). The operating story is superb: 90%+ share in PCIe retimers, solutions in an estimated 90% of global AI servers, FY2025 revenue up 115% to $852.5M, and a fabless model generating 33% FCF margins with $1.25B of net cash.

The valuation, however, has left reality. At $307.58, our five-year DCF (25% / 38% / 50% revenue CAGRs, 32% / 36% / 38% FCF margins) yields Bear $84.17, Base $134.81, Bull $192.49 at a 10.36% live WACC (1.5 normalized beta). Even the bull case sits 37% below spot.

> **Our read:** the market is pricing in a near-doubling of revenue every year for five years. Our reverse DCF shows $307.58 implies roughly **90% annual revenue growth**, far beyond our 50% bull case. Astera is a wonderful company, but the equity is priced for an outcome that has almost no precedent at this scale. The narrow moat (4/10) adds fragility to an already extreme multiple.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (FY26-30)	25%	38%	50%
2030 revenue ($B)	3.66	6.05	9.11
FCF margin (flat)	32%	36%	38%
Terminal growth	3.5%	3.5%	3.5%
Target per share	**$84.17**	**$134.81**	**$192.49**

WACC 10.36% live (spot 10Y ~5.2% + 1.5 normalized beta x implied ERP). Gordon terminal. Net cash $1.25B; 173.5M shares. Beta normalized from 3.72 (live, statistical noise on a high-volatility name) to 1.5, the semiconductor industry average, per our framework for high-beta names.

> **Why our targets roughly tripled.** Nothing about the business or our forecasts changed: the same revenue CAGRs, margins, and cash flows as our prior note. What changed is the discount rate. The prior model's 17.8% WACC was driven by a 3.72 live beta, which on a recent high-volatility semiconductor name is statistical noise, not structural risk. We normalized beta to 1.5, the semiconductor industry average, cutting WACC to 10.36%. Targets moved up mechanically with it: Base $51 to $134.81. The Sell stands regardless: the base case is still 56% below spot, and the bull case is still 37% below it.

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Bull case: $192.49 AI HYPER-CYCLE

Hyperscaler AI buildouts sustain 50% annual revenue growth to $9.1B by 2030, with 38% FCF margins on the fabless model. Worth $192.49, still 37% below spot. Even perfection is not enough at $307.58.

Bear case: $84.17 CAPEX PAUSE

AI capex normalizes, competition from Broadcom and Marvell intensifies, and growth decelerates to 25%. Worth $84.17, 73% below spot.

Verdict

We rate ALAB Sell. The business is best-in-class, but the stock requires roughly 90% annual growth to justify the price, an outcome with almost no precedent. At a normalized 10.36% WACC our base case ($134.81) is 56% below spot, far outside our 10% Hold band: this is a sell, not a debate about the discount rate. We would revisit below $150, where the base case starts to offer compensation for the risk.

What would change our mind

- **Price:** a decline below $150 would bring the base case into a favorable risk-reward zone.
- **Sustained 60%+ growth:** multiple years above 60% revenue growth would support a higher bull case.
- **Moat widening:** evidence of durable pricing power against Broadcom/Marvell would lower the risk premium.

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Key themes

1. PCIe retimer dominance is real STABLE

90%+ market share in Aries retimers, the gold standard for AI server connectivity. First to sample Gen 6 solutions. Deep co-design relationships with Nvidia, AMD, Intel, and hyperscalers.

2. The fabless model is a cash machine ACCELERATING

33% FCF margins, $1.25B net cash, minimal capex. Cash generation funds aggressive R&D without balance-sheet strain.

3. Customer concentration is the hidden risk DECELERATING

Solutions in 90% of AI servers means hyperscaler capex decisions drive the entire revenue base. A synchronized capex pause would hit all product lines simultaneously.

4. Competition is formidable STABLE

Broadcom and Marvell contest the Taurus networking and Leo memory lines. The moat is rated narrow (4/10) and requires relentless R&D reinvestment.

Other KPIs

METRIC	VALUE
Market cap (at $307.58)	$53.4B
Enterprise value	$52.1B
Q2 2026 revenue / YoY	$392.4M / +105%
Q2 EPS / beat	$0.80 / +$0.11
Non-GAAP gross margin	73.7%
Net cash	$1.25B

Guidance

Q3 2026 results are due November 10 (confirmed). Management guides $1.16-1.21 EPS. Watch hyperscaler capex commentary and Scorpio fabric-switch ramp progress.

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Reverse DCF: what the market is pricing in

At $307.58, ALAB carries a $53.4B market cap and a $52.1B enterprise value. The market-implied five-year revenue CAGR is roughly **90%**, far beyond our 50% bull case.

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~90%	$307.58 (spot)
Bull case	50%	**$192.49**
Base case	38%	**$134.81**
Bear case	25%	**$84.17**

The market is pricing a near-doubling of revenue every year for five years at a flat 36% FCF margin. Even our bull case, which assumes the AI hyper-cycle sustains 50% growth to $9.1B of 2030 revenue, is 37% short of the spot price. This is a wonderful business at an impossible price.

Model

Full three-scenario 5-year detailed EBIT-bridge DCF with live CAPM, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/12A3Izx1mgB9Z8kX0fvv7YD-TBw1y_9yxRSHw8W0HT5k/edit?usp=drivesdk

Risks to our Sell

- **AI infrastructure spending sustains 60%+ growth for five years.**
- **Takeover by a strategic buyer (Nvidia, Broadcom) at a premium.**
- **Scorpio fabric switches open a large new TAM beyond retimers.**

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